

Q1: How has marketplace sales performance evolved over time?

- **Volume-Driven Growth:** Significant growth between 2017 and 2018 was driven primarily by an increase in the number of transactions rather than higher spend per order.
- **Key Metrics (Jan–Aug YoY):** Delivered orders (+140%), product sales (+141%), and total order value (+143%) all saw massive increases.
- **Stable Order Value:** The average product value per order remained almost flat, increasing by only ~0.5% (from R136.08 to R136.75).
- **Logistics Impact:** Freight costs grew faster (+157%) than product sales, highlighting logistics as a critical area to monitor as volume scales.

Q2: Which product categories are driving marketplace sales?

- **Top Performers:** Sales are heavily concentrated in Health & Beauty (R1.26M), Watches & Gifts (R1.21M), and Bed/Bath/Table (R\$1.04M).
- **Differing Strategies:** Bed/Bath/Table relies on high volume (9,417 orders) at a lower price (R93.30 average). Conversely, Watches & Gifts relies on low volume (5,624 orders) at a much higher price (201.14 average).
- **Customer Satisfaction:** All major revenue-driving categories maintain strong average review scores (4.0–4.2/5).

Q3: Which sellers are driving marketplace sales, and how concentrated are sales among the top sellers?

- **Low Concentration Risk:** Sales are well-distributed across a broad seller base.
- **Top 10 Sellers:** The top 10 sellers generated only 13.15% (R1.79M) of the total R13.59M in product sales, meaning the marketplace does not over-rely on a few dominant players.

Q4: How valuable are Olist's customers, and how strong is customer retention?

- **Poor Retention:** 96.88% of customers (93,099) are one-time buyers.
- **Small Repeat Base:** Only 3.12% of customers (2,997) have made more than one purchase.
- **Growth Opportunity:** Converting more one-time buyers (who spend R\$164.87 on average) into repeat buyers is the biggest customer-side opportunity.

Q5: What factors are associated with repeat purchasing?

- **Higher Spend:** Repeat customers spend substantially more overall (R307.66) than one-time buyers (R160.28).
- **Weak Correlation with Metrics:** Review scores and delivery times are nearly identical between one-time and repeat buyers.
- **Key Insight:** Aggregate metrics (like delivery speed and satisfaction scores) do not fully explain what drives a customer to purchase again.

Q6: How well is Olist performing on delivery?

- **Strong Reliability:** 93.23% of delivered orders arrive on time or early.
- **Faster Than Expected:** On average, orders are delivered in 12.09 days—approximately 11 days earlier than the estimated 23.37 days.

Q7: Which regions have the best and worst delivery performance?

- **High Variability:** Late-delivery rates range drastically by state, from just 2.76% in Amazonas (AM) up to 21.41% in Alagoas (AL).
- **High-Volume Discrepancies:** São Paulo (SP) performs exceptionally well with a 4.49% late rate, while Rio de Janeiro (RJ) struggles with a 12.11% late rate, warranting further investigation.

Q8: Which product categories have the best and worst customer experience?

- **Best Experience:** General Interest Books (4.45) and Luggage/Accessories (4.32) boast the highest average review scores.
- **Worst Experience:** Office Furniture is an extreme outlier, suffering from the lowest review score (3.49) and the longest average delivery time (20.39 days).

Q9: Which products generate the most sales, and are high-selling products also receiving good customer reviews?

- **Sales vs. Satisfaction:** Commercial success does not guarantee positive customer feedback.
- **Problematic Top Sellers:** While many top products have scores above 4.2, some are severely lacking. For example, a top baby product generated ~R\$39K but held an abysmal 2.68 average rating.

Q10: Which payment methods are most commonly used, and how does payment behavior vary across them?

- **Credit Card Dominance:** Credit cards account for 78.34% of all payment value (R\$12.54M).
- **Boleto Popularity:** Boleto is the second-largest method, capturing 17.92% (R\$2.87M).
- **Concentration:** Combined, credit cards and boleto process over 96% of total transaction value, making vouchers and debit cards practically negligible.

Q11: Which sellers generate the most revenue, and how does their customer experience compare with other sellers?

- **Variable Seller Quality:** High revenue does not always equal good customer service.
- **Revenue vs. Reviews:** While many top earners have great scores (4.2+), one top seller generated ~R\$188K but had an average score of just 3.34 and a slow 21.95-day delivery average.
- **Key Insight:** Sellers must be evaluated on both revenue and operational metrics.

Q12: How many customers are one-time buyers versus repeat buyers, and how much revenue does each group generate?

- **Customer Breakdown:** 93,099 (96.88%) are one-time buyers, while only 2,997 (3.12%) are repeat buyers.

- **Revenue Impact:** Despite spending nearly twice as much per person (R307.66 *vs.* R160.28), repeat buyers are so few that they account for only 5.82% of total customer revenue.

Q13: What characteristics distinguish repeat customers from one-time customers?

- **Financial Value:** The only major differentiator is purchase frequency and total spend (R307.66 *for repeat vs.* R160.28 for one-time).
- **Similar Experiences:** Both groups experience virtually the same delivery speeds, reliability, and satisfaction, meaning superior operational experience alone isn't driving the repeat purchases.

Q14: What proportion of orders are delivered, canceled, unavailable, or otherwise unsuccessful, and what is the financial impact of these orders?

- **High Success Rate:** 97.02% of all orders are successfully delivered.
- **Financial Impact of Cancellations:** Canceled orders (0.63%) have a severe financial footprint, representing ~R\$105K in lost value.
- **Low Impact of Unavailability:** Unavailable orders (0.61%) have a negligible impact, representing only ~R\$2.1K in lost value.

Q15: How does delivery performance vary across customer states, and which states experience the longest delivery times or delays?

- **Speed vs. Reliability:** Delivery time and delivery reliability are two distinct metrics.
- **Fastest/Slowest:** São Paulo is the fastest (8.30 days average), while Amazonas is the slowest (25.99 days average) but remains highly reliable (only 2.76% late).
- **Worst Performer:** Alagoas suffers from both slow deliveries (24.04 days) and the platform's highest late rate (21.41%).

Q16: Does delivery performance affect customer satisfaction?

- **High Correlation:** Delivery reliability is the most critical component of customer satisfaction.
- **Early vs. Late:** Customers who receive early orders leave an average rating of 4.30. Customers with late deliveries (averaging 33.36 days in transit) leave an average rating of just 2.27.

Q17: How concentrated is marketplace revenue among sellers?

- **Top-Heavy Revenue:** The top 5% of sellers generate 52.51% of total revenue, and the top 20% generate 82.06%.
- **No Single Dependency:** Despite this concentration, the marketplace is not dependent on a single entity, as the absolute highest-selling individual accounts for only 1.58% of platform revenue.

Q18: Which categories and sellers have the strongest overall combination of sales, delivery performance, and customer satisfaction?

- **Best All-Around Category:** Health & Beauty leads globally, balancing massive sales (R\$1.44M) with high satisfaction (4.14 rating) and fast delivery (11.52 days). (Sports & Leisure, Cool Stuff, Toys, and Perfumery follow closely).
- **Best Sellers:** Top holistic performers (e.g., sellers *fa1c13...* and *7a67c8...*) prove that maximizing sales volume while maintaining fast shipping and positive reviews is achievable.

Q19: Where are the biggest weaknesses in the overall marketplace performance?

- **Late Deliveries:** Though infrequent (6.77%), late deliveries crash average reviews to 2.27.
- **Problematic Categories:** Office Furniture generates significant complaints (3.49 rating, 20-day delivery).
- **Toxic Top Sellers:** A small group of high-revenue sellers drag down marketplace reputation with poor service (e.g., one R\$239K seller averaging a 3.34 rating).
- **Lost Value:** 2.98% of orders are completely un-delivered, tying up ~R\$423.8K in associated order value.

Q20: Where should the marketplace focus its improvement efforts to increase revenue, customer retention, and customer satisfaction while reducing operational problems?

- **Target Late Shipments:** Fixing the 6.77% late delivery rate will instantly rescue plummeting review scores.
- **Audit Top Earners:** The marketplace must intervene with high-revenue categories (like Office Furniture) and large sellers who have substandard ratings and slow delivery times.
- **Drive Repeat Business:** Implement strategies to convert the massive pool of one-time buyers (96.88%) into repeat customers, as they offer 1.92× the lifetime value.